Tech Savvy Accountants

Exit-Ready Finance: The 12-Month Checklist

For PE sponsors, operating partners and portfolio-company CFOs

A buyer's accountants will rebuild your earnings from source documents. Every gap they find costs time, credibility or price. Advisers commonly recommend starting this work 12 to 18 months before a sale, because a clean close takes several quarters to prove. Use this list to see where you stand.

1. The monthly close

- ☐ **Twelve or more months of monthly financials prepared on a GAAP basis,** closed on a consistent calendar, with no reopened periods.
- ☐ **Every balance sheet account reconciled monthly,** with support attached and a named preparer and reviewer.
- ☐ **Journal entries backed by documents.** Manual entries over a set threshold have support and approval on file.
- ☐ **Clearing and suspense accounts at or near zero** at every month-end, with old items explained.

2. Earnings a buyer can trust

- ☐ **Every EBITDA adjustment tied to evidence,** such as invoices, contracts or payroll records, not management estimates.
- ☐ **Revenue by customer, channel and month,** so concentration and repeat purchase can be shown, not asserted.
- ☐ **Prepaids and accruals handled consistently.** Large annual bills spread over the periods they cover, not expensed when paid.
- ☐ **Cut-off is clean.** Revenue and costs land in the month they belong to.

3. Balance sheet and cash

- ☐ **Working capital history by month,** ready for the buyer to set a working capital target.
- ☐ **Debt-like items listed:** deferred revenue, accrued bonuses, unpaid taxes, earn-outs, leases.
- ☐ **Inventory counts tie to the ledger.** Warehouse or 3PL reports reconcile to the accounting system, with landed cost in inventory.

4. Entities and systems

- ☐ **Each entity's books are right on their own.** Vendors, customers and transactions sit in the correct subsidiary.
- ☐ **Intercompany balances agree and eliminate** every month, not only at year-end.
- ☐ **Your accounting system has basic controls:** closed periods locked, approval workflows on, and access limited by role.
- ☐ **One definition per KPI,** used the same way in the board pack and the data room.

How to read your result

Most boxes ticked: you are in good shape; test it with a mock buyer review. Several gaps in sections 1 or 4: fix these first, because every later number depends on them. Gaps in section 2: expect questions on earnings quality and price.

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Controller-level accounting for PE- and VC-backed product companies running NetSuite. We clean up the books after an acquisition, run the monthly close, and get the numbers ready for investor and buyer scrutiny. Talk to us about where your checklist came out.

This checklist is general guidance, not an audit, a quality-of-earnings review or legal advice.